



UMEME

**UMEME LIMITED
CONDENSED INTERIM FINANCIAL STATEMENTS
(UNAUDITED)**

**FOR THE SIX MONTHS PERIOD ENDED
30 JUNE 2017**

Umeme Limited
Condensed Interim Financial Statements (Unaudited)
For the six-month period ended 30 June 2017

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Umeme Limited
Statement of directors' responsibilities
For the six-month period ended 30 June 2017

The Uganda Securities Exchange Rules, 2003 require the directors to prepare interim financial statements for the first six months of a financial year, which show the state of the financial affairs of Umeme Limited ("the Company") as at the end of the six-month period and of its operating results for that period.

The directors are ultimately responsible for the internal control system of the Company. The directors delegate responsibility for internal control to management. Standards and systems of internal control are designed and implemented by management to provide reasonable assurance as to the integrity and reliability of the financial statements and to adequately safeguard, verify and maintain accountability of the Company's assets. Appropriate accounting policies supported by reasonable and prudent judgements and estimates, are applied on a consistent basis and using the going concern basis. These systems and controls include the proper delegation of responsibilities within a clearly defined framework, effective accounting procedures and adequate segregation of duties.

The directors accept responsibility for the interim financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with IAS 34 Interim Financial Reporting. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of interim financial statements, as well as maintenance of adequate systems of internal financial control.

The directors have made an assessment of the Company's ability to continue as a going concern and are satisfied that the Company has the resources to continue in business for the foreseeable future. In addition, the directors are not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern for the next twelve months from the date of this statement.

The interim financial statements were approved by the Board of Directors on 28th September, 2017 and signed on its behalf by:


.....
Director


.....
Director

Date: 28th September, 2017



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REPORT ON REVIEW OF CONDENSED INTERIM FINANCIAL STATEMENTS TO THE DIRECTORS OF UMEME LIMITED FOR THE SIX MONTHS PERIOD ENDED 30 JUNE 2017

INTRODUCTION

We have reviewed the accompanying condensed statement of financial position of Umeme Limited ("the Company") as at 30 June 2017, the condensed statements of profit or loss, comprehensive income, changes in equity and cash flows for the six-month period then ended, and the notes to the financial statements, which include a summary of significant accounting policies and other explanatory notes as set out on pages 3 to 28. The directors are responsible for the preparation and presentation of this interim financial information in accordance with International Accounting Standard 34, Interim Financial Reporting. Our responsibility is to express a conclusion on this interim financial information based on our review.

SCOPE OF REVIEW

We conducted our review in accordance with International Standards on Review Engagements 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity". A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

CONCLUSION

Based on our review, nothing has come to our attention that causes us to believe that the accompanying interim financial information does not give a true and fair view of the condensed financial position of the company as at 30 June 2017, and of its financial performance and its cash flows for the six-month period then ended, in accordance with IAS 34, Interim Financial Reporting.

KPMG
Certified Public Accountants
P.O. Box 3509
Kampala, Uganda

Date: 29 September 2017

Umeme Limited
Condensed Statement of Profit or Loss.
For the six-month period ended 30 June 2017

	Note	Unaudited 6 months ended 30 June 2017 Ushs million	Unaudited 6 months ended 30 June 2016 Ushs million
Revenue	3	704,421	658,700
Cost of sales	4	(486,444)	(446,327)
GROSS PROFIT		217,977	212,373
Other operating income	5	4,529	3,482
		222,506	215,855
Repair and maintenance expenses		(12,250)	(8,177)
Administrative expenses	6	(81,091)	(75,297)
Effects of Amendment 5	7	(115,236)	-
Foreign exchange losses		(1,173)	(909)
OPERATING PROFIT BEFORE AMORTISATION		12,756	131,472
Amortisation of intangible assets		(41,828)	(31,927)
OPERATING (LOSS)/PROFIT		(29,072)	99,545
Finance income	8	16,274	13,127
Finance costs	9	(43,854)	(32,476)
(LOSS)/PROFIT BEFORE TAX		(56,652)	80,196
Income tax credit/(expense)		9,128	(25,699)
(LOSS)/PROFIT FOR THE PERIOD		(47,524)	54,497
BASIC AND DILUTED EARNINGS PER SHARE	10	(29)	34

The notes on pages 8 to 28 form an integral part of these financial statements

Umeme Limited
Condensed Statement of Comprehensive Income.
For the six-month period ended 30 June 2017

	Unaudited 6 months ended 30 June 2017 Ushs million	Unaudited 6 months ended 30 June 2016 Ushs million
(Loss)/Profit for the period	(47,524)	54,497
Other comprehensive income		
Foreign currency translation differences	(35,540)	4,545
Total comprehensive (loss)/income for the period, net of tax	(83,064)	59,042

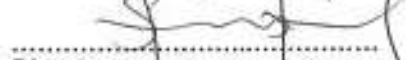
The notes on pages 8 to 28 form an integral part of these financial statements.

Umerme Limited
Condensed Statement of Financial Position
As at 30 June 2017

	Note	Unaudited 30 June 2017 Ushs million	Audited 31 December 2016 Ushs million
NON CURRENT ASSETS			
Intangible assets	11	1,120,915	1,317,309
Concession arrangement : financial asset	12	375,062	363,025
Financial asset	13	313,684	70,018
		<u>1,809,641</u>	<u>1,750,352</u>
CURRENT ASSETS			
Inventories		61,723	55,521
Amount recoverable from customer capital contributions	14	7,997	6,982
Tax recoverable		-	11,841
Trade and other receivables		235,096	342,959
Bank balances	15	17,397	24,204
		<u>322,213</u>	<u>441,507</u>
TOTAL ASSETS		<u>2,131,854</u>	<u>2,191,859</u>
EQUITY AND LIABILITIES			
EQUITY			
Issued capital		27,748	27,748
Share premium		70,292	70,292
Retained earnings		254,338	314,607
Reserves		143,865	179,405
		<u>496,243</u>	<u>592,052</u>
NON-CURRENT LIABILITIES			
Borrowings : Non-current portion	16	512,648	578,416
Concession obligation	17	375,062	363,025
Deferred income tax liability		111,843	111,285
Long term incentive plan	18	-	2,867
		<u>999,553</u>	<u>1,055,593</u>
CURRENT LIABILITIES			
Borrowings: Current portion	16	195,955	124,021
Customer security deposits		223	130
Deferred income		14,248	7,005
Trade and other payables		379,420	364,029
Current income tax payable		6,635	-
Short term borrowings	19	39,577	49,029
		<u>636,058</u>	<u>544,214</u>
TOTAL EQUITY AND LIABILITIES		<u>2,131,854</u>	<u>2,191,859</u>

These financial statements were approved by the Board of Directors on 9th September, 2017 and signed on its behalf by:


Director


Director

The notes on pages 8 to 28 form an integral part of these financial statements.

Umeme Limited
Condensed Statement of Changes in Equity
For the six-month period ended 30 June 2017

	Issued capital Ushs million	Share premium Ushs million	Translation reserve Ushs million	Retained earnings Ushs million	Total Equity Ushs million
At 1 January 2016	27,748	70,292	133,410	272,325	503,775
Profit for the period	-	-	-	54,497	54,497
Other comprehensive income, net of tax	-	-	4,545	-	4,545
Dividend paid	-	-	-	(39,603)	(39,603)
At 30 June 2016 - unaudited	27,748	70,292	137,955	287,219	523,214
At 1 January 2017	27,748	70,292	179,405	314,607	592,052
Loss for the period	-	-	-	(47,524)	(47,524)
Other comprehensive loss, net of tax	-	-	(35,540)	-	(35,540)
Dividend declared	-	-	-	(12,745)	(12,745)
At 30 June 2017 - unaudited	27,748	70,292	143,865	254,338	496,243

The notes on pages 8 to 28 form an integral part of these financial statements.

Umeme Limited
Condensed Statement of Cashflows
For the six-month period ended 30 June 2017

	Note	Unaudited 6 months ended 30 June 2017	Unaudited 6 months ended 30 June 2016
		Ushs million	Ushs million
(Loss)/Profit before tax		(56,652)	80,196
Adjustment for:			
Interest received from banks		(265)	(270)
Amortisation of intangible assets	11	41,828	31,927
Loss on disposal of intangible assets		3,484	-
Finance Income on Concession Financial Asset	12	(14,217)	(12,351)
Finance income on receivable from financial asset	13	(1,792)	(506)
Interest expense on borrowings	16	22,836	15,261
Amortisation of deferred transaction costs	16	2,613	1,882
Finance cost on concession obligation	17	14,217	12,351
Dividends declared		(12,745)	-
Unrealised foreign exchange losses		460	392
Cash flows before working capital movements		(233)	128,882
Changes in:			
Inventories		(6,202)	(12,640)
Amount recoverable from customer capital contributions		(1,015)	(2,153)
Trade and other receivables		107,863	2,694
Interest rate SWAP		-	(14)
Deferred income		7,243	(5,198)
Long term incentive plan		(2,867)	(10,518)
Trade and other payables		15,391	(32,638)
Cash generated from operating activities		120,180	68,415
Interest received from banks		265	270
Current income tax paid		(3,735)	(11,936)
Interest paid on loan A and B		(22,699)	(16,479)
Transaction costs on term loan and short term borrowings		(2,246)	(373)
Net cash flows from operating activities		91,765	39,897
Investing activities			
Purchase of intangible assets	11	(99,125)	(110,014)
Net cash flows used in investing activities		(99,125)	(110,014)
Financing activities			
Net proceeds from borrowings	16	71,920	83,700
Repayment of borrowings	16	(62,008)	-
Dividends paid		-	(39,603)
Net cash flows from financing activities		9,912	44,097
Net increase/(decrease) in cash and cash equivalents		2,552	(26,020)
Cash and cash equivalents at 1 January		(24,955)	(3,766)
Cash and cash equivalents at the end of the period	21	(22,403)	(29,786)

The notes on pages 8 to 28 form an integral part of these financial statements.

1. COMPANY INFORMATION AND GOING CONCERN

1.1 Company information

Umeme Limited (the Company) is a limited company incorporated in Uganda under the Companies Act, 2012 of Uganda, and licensed under License No. 047 and No. 48 to carry on business of electricity distribution and supply by the Electricity Regulatory Authority under the provisions of the Electricity Act 1999, (Cap 145). The Company's business operations are generally evenly distributed over the period.

The Company's shares are publicly traded on the Uganda Securities Exchange (USE) and cross listed on Nairobi Stock Exchange (NSE).

The condensed interim financial statements of the Company for the six-months ended 30 June 2017 were authorized for issue in accordance with a resolution of the directors on ~~28th September~~, 2017.

1.2 Going concern

The Company's directors have made an assessment of the Company's ability to continue as a going concern and are satisfied that the Company has the resources to continue in business for the foreseeable future. Furthermore, the directors are not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern. Therefore, the condensed interim financial statements have been prepared on the going concern basis.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

a) Basis of preparation

The condensed interim financial statements have been prepared in accordance with IAS 34 Interim Financial Reporting. The condensed interim financial statements do not include all the information and disclosures required in annual financial statements, and should be read in conjunction with the Company's annual financial statements as at 31 December 2016 and the notes to these condensed interim financial statements that include explanation of events and transactions that are significant to the understanding of the changes in financial position and performance of the Company since 31 December 2016. The explanatory notes disclose the events and transactions that update the relevant information presented in the 2016 annual financial statements including:

- The nature and amount of items affecting the Company's financial position, performance and cash flows that are unusual because of their nature, size or incidence.
- The nature and amount of changes in estimates of amounts reported in prior periods.
- Issues and repayments of debt and equity securities.
- Dividends paid for ordinary shares.

Balances disclosed relating to the year ended 31 December 2016 are audited while balances relating to both 30 June 2017 and 30 June 2016 are unaudited.

b) Changes in accounting policies and methods of computation

The accounting policies and methods of computation adopted in the preparation of these condensed interim financial statements are consistent with those followed in the preparation of the Company's financial statements for the year ended 31 December 2016.

Functional currency.

The Company's functional currency is United States Dollars (USD), which is the currency of the primary economic environment in which the Company operates.

Presentation currency.

The Company's financial statements are presented in Uganda shillings after translating the Company's functional currency.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(b) Changes in accounting policies and methods of computation (continued)

c) Segment information

The Company is organised into one single business unit for management purposes. Management monitors the operating results of the business as a single unit for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss which is measured the same as the operating profit or loss in the financial statements. There were no changes to this during the period.

All the Company's revenue is generated from external customers domiciled in Uganda and no single external customer contributes revenue amounting up to 10% of the Company's revenue. All the Company's assets are located in Uganda.

3. REVENUE

		Unaudited 30 June 2017 Ushs million	Unaudited 30 June 2016 Ushs million
Domestic		189,595	170,525
Commercial		24,461	23,024
Medium industrial		1,918	2,345
Street lighting		550	434
Commercial – time of use		80,360	70,567
Medium industrial –time of use		137,486	127,586
Large industrial – time of use		139,573	237,724
Extra Large industrial – time of use		122,703	-
Total amount billed to customers		696,646	632,205
Revenue adjustment (Amendment 2&4)	3(a)	-	17,444
Recovery of income for funding non-network assets	3(b)	(3,199)	(3,548)
		693,447	646,101
Construction revenue-construction of assets		10,974	12,599
		704,421	658,700

3(a) As previously reported in prior period financial statements, Electricity Regulatory Authority (ERA) implemented Amendments Number 2 and 4 of the Supply License relating to reconciliation of the total energy purchased from UETCL and the income tax provision on the return on investment components of the tariff and this resulted in ERA clawing back these amounts through the Bulk Supply Tariff payable by the Company for electricity purchases.

Growth factor revenues

As reported in the prior period financial statements, the Company assessed that it was entitled to recover the amounts clawed back by ERA, following the implementation of Amendments Number 2 and 4, in respect to the Growth factor revenues, and that the Company had commercial mechanisms and remedies to recover the growth factor (Hvey) revenues accrued. On this basis, the Growth factor revenues were accrued in the periods when earned.

In relation to Amendment 2 and 4 on Hvey reconciliations, the Company entered into a Consent Judgment with the Electricity Regulatory Authority (ERA) on 18 May 2016. The judgement provided proposals for modification of Umeme's Electricity Supply Licence No 048 to incorporate the terms agreed.

However, ERA issued a formal Notice of Modification of Licence for Supply of Electricity No: 048 (Modification Number Five) which became effective on 12 May 2017. The amendment requires that the Growth factor (Hvey) revenues for year-on-year total energy purchases be deployed towards investments into the Distribution Network as approved by ERA and also to be used to leverage grant or other counterpart financing that will be applied to investments in the Distribution Network. Therefore, there will be no more claw backs. The Company is not entitled to a Return on Investment on the specific projects implemented using the reconciliation amounts in line with similar terms for projects funded using concessionary financing, but will earn a one-off management fee.

3. REVENUE (CONTINUED)

Growth factor revenues (continued)

Amendment Number 5 did not provide for recovery of the previously clawed back Growth factor revenues amounting to Ushs 65,860 million (USD 18.2 m) as envisaged in the Consent Judgement. The Company is currently engaging ERA and other sector stakeholders to provide a recovery mechanism for these previously clawed back Hvev revenues. Due to the uncertainty arising from the issuance of Amendment Number 5 with respect to issues relating to growth factor revenues, previously clawed back, which had not been fully resolved at the time of issuing these interim financial statements, an impairment provision for the growth factor receivable has been recognised as at 30th June 2017 as disclosed in **note 7**.

Tax revenues

As reported in prior period financial statements, based on commercial and legal remedies set out in the concession agreements, the Company assessed that it was entitled to recover tax revenue in the period when the Return on Investment (ROI) is allowed in the tariff as opposed to when tax is paid. The Company assessed that these contractual rights were certain and that the Company had commercial and legal remedies to recover the tax revenues. As a result, the Company accrued for the tax revenues in the periods in which they were earned. As at 30 June 2017, the Company had accrued Ushs 38,643 million (USD 10.7 million) in this respect.

Amendment Number 5 to the Supply Licence does not provide for recovery of the previously clawed back Tax IN revenues amounting to Ushs 38,643 million (USD 10.7 m) and as such created an uncertainty regarding the timing of recovery of previously clawed back Tax IN, which had not been fully resolved at the time of issuing these interim financial statements. An impairment provision for the Tax IN has therefore been recognised as at 30th June 2017 as disclosed under **note 7**.

3 (b) In accordance with Amendment Number 4 of the Company's Electricity Supply License, ERA approved Ushs 3,199 million (2016: Ushs 3,548 million) to be collected from customers through the retail tariffs for purchase of non-network assets. Non-network assets are those which do not directly improve or expand the Distribution Network but are necessary for operation of the Distribution Network.

This amount was offset from the reported revenue in line with the funding mechanism.

4. COST OF SALES

	Unaudited 30 June 2017 Ushs million	Unaudited 30 June 2016 Ushs million
Electricity purchase from UETCL	473,343	431,822
Generation levy	2,127	1,906
Construction costs-construction of assets	10,974	12,599
	<u>486,444</u>	<u>446,327</u>

5. OTHER OPERATING INCOME

Reconnection fees	341	207
Meter/transformer test fees	-	12
Inspection fees	3,220	2,822
Sale of scrap and other disposals	13	83
OBA Income	478	212
Fines and sundry income	477	146
	<u>4,529</u>	<u>3,482</u>

6. ADMINISTRATIVE EXPENSES

Staff costs	36,627	35,013
Transport costs	5,033	4,176
Other administration costs	19,849	19,278
Provision for impairment of inventories	-	743
Consultancy fees	2,294	1,667
Telephone expenses	2,246	2,275
Debt collection expenses	693	708
Insurance charges	1,243	1,630
Impairment provision for bad and doubtful debts	13,106	9,807
	<u>81,091</u>	<u>75,297</u>

7. EFFECTS OF AMENDMENT 5

Provision for Growth factor revenues - note 3	65,860	-
Provision for Tax IN receivable - note 3	38,644	-
Provision for appeal costs receivable	10,732	-
	<u>115,236</u>	<u>-</u>

Appeal costs relate to costs incurred by ERA and Umeme in connection with the Electricity Distribution Tribunal Appeals 3 and 9 of 2012 that were paid for by the Company as required by as required by terms of the Consent Judgment. Amendment Number 5 did not provide for recovery of the Appeal costs amounting to Ushs 10,732 million (USD 3 m) as envisaged in the Consent Judgement. The Company is currently engaging ERA and other sector stakeholders to provide a recovery mechanism for these Appeal costs. Due to the uncertainty arising from the timing of recovery of the Appeal costs which had not been fully resolved at the time of issuing these interim financial statements, an impairment provision has been recognised as at 30th June 2017.

8. FINANCE INCOME

	Unaudited 30 June 2017 Ushs million	Unaudited 30 June 2016 Ushs million
Interest on bank deposits	265	270
Financing income on concession financial asset	14,217	12,351
Financing income interest receivable on buyout amount	1,792	506
	<u>16,274</u>	<u>13,127</u>

9. FINANCE COSTS

Accrued interest on customer security deposits	507	631
Finance charge on concession obligation	14,217	12,351
Amortised borrowing costs	2,573	1,873
Interest expense on Facility A	9,235	5,865
Interest expense on Facility B	12,506	8,446
Swap interest on facility A	-	59
Swap interest on facility B	-	82
Other financing costs	4,816	3,169
	<u>43,854</u>	<u>32,476</u>

10. BASIC AND DILUTED EARNINGS PER SHARE

Basic and diluted earnings per share are calculated by dividing the profit attributable to shareholders by the basic and diluted weighted average number of ordinary shares in issue during the period.

	Unaudited 30 June 2017	Unaudited 30 June 2016
Profit attributable to shareholders (Ushs million)	(47,524)	54,497
Opening basic weighted average number of ordinary shares (million)	1,624	1,624
Basic and Diluted weighted average number of ordinary shares (million)	1,624	1,624
Basic and Diluted earnings per share (Ushs)	<u>(29)</u>	<u>34</u>

11. INTANGIBLE ASSETS

	GOU support & assurances rights Ushs million	Other Concession rights Ushs million	Total Ushs million
Cost			
At 1 January 2016	3,290	1,306,627	1,309,917
Additions	-	317,797	317,797
Disposals and write offs	-	(2,657)	(2,657)
Transfer to buyout amount	-	(65,780)	(65,780)
Translation differences	233	106,279	106,512
At 31 December 2016	3,523	1,662,266	1,665,789
 Additions	-	99,125	99,125
Disposals and write offs	-	(3,771)	(3,771)
Transfer to buyout amount	-	(243,277)	(243,277)
Translation differences	(21)	(9,094)	(9,115)
At 30 June 2017	3,502	1,505,249	1,508,751
 Amortisation			
At 1 January 2016	(1,714)	(263,608)	(265,322)
Charge for the year	(123)	(61,499)	(61,622)
Disposals and write offs	-	822	822
Translation differences	(133)	(22,225)	(22,358)
At 31 December 2016	(1,970)	(346,510)	(348,480)
 Charge for the year	(62)	(41,766)	(41,828)
Disposals and write offs	-	287	287
Translation differences	5	2,180	2,185
At 30 June 2017	(2,027)	(385,809)	(387,836)
 Net carrying amount			
At 30 June 2017	1,475	1,119,440	1,120,915
At 31 December 2016	1,553	1,315,756	1,317,309

12. CONCESSION ARRANGEMENT FINANCIAL ASSET

	Unaudited 30 June 2017 Ushs million	Audited 31 December 2016 Ushs million
At 1 January	363,025	313,960
Finance income for the period	14,217	25,469
Foreign exchange (loss)/gain	(2,180)	23,596
At period end	375,062	363,025
Maturity analysis:		
Outstanding financial asset	375,062	363,025
Less: Amount recoverable within one year	-	-
Non-current portion of financial asset	375,062	363,025
The financial asset is recoverable as analysed below:		
Within one year	-	-
Between one and two years	20,340	7,047
Between two and three years	15,583	7,361
Between three and four years	68,807	4,642
Between four and five years	77,204	146,758
After five years	193,128	197,217
	375,062	363,025

Under the terms of the Lease and Assignment Agreement (LAA), the Company has an unconditional right to collect cash from the users of the distribution network for concession rental payments to UEDCL as determined by Electricity Regulatory Authority (ERA) through the tariff methodology.

No concession rental payments were made to UEDCL regarding the concession obligation during the years ended 31 December 2016 and for the period ended 30 June 2017 as ERA excluded the concession rental fees from the end user tariffs for the period.

UEDCL bears the risk that the cash flows generated by the users of the Distribution Network using the tariff approved by ERA will not be sufficient to recover the concession rental amounts paid by the Company to UEDCL. The Company's cash flows relating to the rentals paid are effectively secured, which results in a financial asset as the consideration received. The service concession arrangement is subject to a grantor (UEDCL) guarantee and payments made by the users are effectively regarded as cash collected on behalf of the grantor and this gives rise to a financial asset for the commitment made by the grantor. Concession rental payments to UEDCL regarding the concession obligation are accounted for in Note 17.

13. FINANCIAL ASSET

	Unaudited 30 June 2017 Ushs million	Audited 31 December 2016 Ushs million
At 1 January	70,018	-
Transfer from intangible asset – Note 11	243,277	65,780
Interest receivable – 5%	1,792	805
Foreign exchange (loss)/gain	(1,423)	3,433
	<u>313,664</u>	<u>70,018</u>

The financial asset represents capital investments by the Company which will not have been recovered through the tariff methodology at the time of transferring the distribution network back to the Government of Uganda at end of the Concession. It is computed as the gross accumulated capital investments less cumulative capital recovery charges at the time of transfer. Annual capital recovery charges are computed as the product of the gross total accumulated investments and weighted average depreciation rate.

As at 30 June 2017, the estimated weighted average depreciation rate was 9.5 % (2016: 9.5%) and it is hence estimated that capital investments amounting to Ushs 313 billion (USD 86.8 million) as of that date will not have been recovered through the tariff methodology at the end of the concession. The buy-out amount shall be paid in cash with a 5% return and hence any amounts due are accounted for as a financial asset. The financial assets are contractually denominated in USD dollars.

14. AMOUNT RECOVERABLE FROM CUSTOMER CAPITAL CONTRIBUTIONS

	Unaudited 30 June 2017 Ushs million	Audited 31 December 2016 Ushs million
At 1 January	6,982	6,634
Additions to customer funded installations	1,530	4,036
Completed customer funded installations	(469)	(4,152)
Translation difference	(46)	464
At the end of period	<u>7,997</u>	<u>6,982</u>

15. BANK BALANCES

	Unaudited 30 June 2017 Ushs million	Audited 31 December 2016 Ushs million
Bank balances	<u>17,397</u>	<u>24,204</u>

The Company holds no collateral in respect to the bank balances. Bank balances are short-term deposits made for varying periods depending on the cash requirements of the Company, and earn interest at the applicable market deposit rates.

16. BORROWINGS

	Unaudited 30 June 2017 Ushs million	Audited 31 December 2016 Ushs million
Amounts due to lenders: Term loan (i)	648,759	714,950
Short term bridge loan (ii)	71,927	-
Less: Deferred transactions costs	(12,083)	(12,513)
	708,603	702,437
Less: Current portion - amount due within one year		
Term loan	(124,028)	(124,021)
Short term loan	(71,927)	-
	512,648	578,416

a) Amount due to Lenders

i) Term Loan

	Unaudited 30 June 2017 Ushs million			Audited 31 December 2016 Ushs million		
				Facility A	Facility B	Total
Movement on the account						
At 1 January	303,688	411,262	714,950	202,136	288,768	490,904
Amount received during the period	-	-	-	106,505	139,285	245,790
Interest charge for the period	9,684	13,113	22,797	13,724	19,869	33,593
Foreign exchange losses	(1,819)	(2,462)	(4,281)	(21,707)	(40,680)	(62,387)
Less: Principal repayment	(21,575)	(40,433)	(62,008)	(13,832)	(20,038)	(33,870)
Less: Interest payment	(9,642)	(13,057)	(22,699)	16,862	24,058	40,920
At period end	280,336	368,423	648,759	303,688	411,262	714,950
The amounts due are made up as follows:						
Principal	237,183	287,549	524,732	258,498	332,431	590,929
Principal payable in one year	43,154	80,874	124,028	45,190	78,831	124,021
	280,337	368,423	648,760	303,688	411,262	714,950

ii) Short term bridge loan

	Unaudited 30 June 2017 Ushs million	Audited 31 December 2016 Ushs million
Movement on the account		
At 1 January	-	-
Amount received during the period	71,920	-
Interest charge for the period	39	-
Foreign exchange gains	(32)	-
	71,927	-

16. BORROWINGS (CONTINUED)

b) Deferred Transaction Costs

i) Term Loan

	30 June 2017 Ushs million			31 December 2016 Ushs million		
				Facility A	Facility B	Total
Movement on the account						
At 1 January	5,219	7,294	12,513	5,064	7,443	12,507
Upfront and guarantee fees	-	-	-	1,677	1,979	3,656
Management, security and agency fees	-	-	-	123	82	205
Amortisation for the period	(1,115)	(1,375)	(2,490)	(1,989)	(2,701)	(4,690)
Foreign exchange (gains) / losses	(24)	(39)	(63)	344	491	835
At Period end	4,080	5,880	9,960	5,219	7,294	12,513

	Unaudited 30 June 2017 Ushs million	Audited 31 December 2016 Ushs million
ii) Short term bridge loan		
Movement on the account		
At 1 January	-	-
Arrangement and commitment fees	2,246	-
Amortization for the period	(123)	-
At 30 June	2,123	

The Company has a term and revolving credit facilities agreement worth USD 235 million with International Finance Corporation (IFC), Standard Chartered Bank and Stanbic Bank Uganda Limited as the mandated lead arrangers. USD 90 million is designated as term Facility A to be lent by IFC and USD 125 million as term Facility B to be lent by Stanbic Bank Uganda Limited and Standard Chartered Bank. USD 15 million and USD 5 million were designated as revolving credit facilities with Standard Chartered Bank and Stanbic Bank Uganda Limited respectively. Standard Chartered Bank is the overdraft issuer, security agent and the facility agent.

During the period, the company accessed a short term bridge facility of Ushs 71,920 million (USD 20m) from Standard Chartered Bank as per the provisions on permitted financial indebtedness in the Term Loan facilities agreement.

As at 30 June 2017, the Company had an outstanding balance of Ushs 280,336 million (USD 78 million) (2016: Ushs 303,688 million (USD 83million)) on Facility A, Ushs 368,423 million (USD 103 million) (2016: Ushs 411,262 million (USD 114 million)) on Facility B and Ushs 71,927 million (USD 20 million) on the short term loan.

Facilities A and B both attract interest at LIBOR (applicable screen rate) + a margin of 5%. The short term facility attracts interest at 6 months LIBOR + margin of 3.5% per annum for the first three months from the date of signing the facility agreement and thereafter 4% per annum until the facility is fully repaid. The facility attracts a commitment fee of 1.8% per annum on the utilised amount.

Facility A is repayable every six months in 15 semi-annual instalments of 6.7% of the total facility drawn down at the end of the availability period and 6.62% on the termination date (November 2023). Facility B is repayable every six months in 9 semi-annual instalments of 9% of the total facility drawn down at the end of the availability period and 28% on the termination date (November 2020). The short term loan is repayable in 6 months as a bullet repayment.

The company made loan repayments of Ushs 21,575 (USD 6 million) relating to facility A and Ushs 40,433 million (USD 11.3 million) relating to facility B.

The Long term facilities are secured against a first ranking fixed charge on all the Company's rights, title and interest from time to time and all Related Rights; and all contracts of insurance in respect of the Mandatory Insurances in which the Company has an interest and all moneys from time to time payable thereunder, and related rights.

As at 30 June 2017, the company complied with all the 5 ratios and covenants as required by the loan agreements.

17. CONCESSION OBLIGATION

	Unaudited 30 June 2017 Ushs million	Audited 31 December 2016 Ushs million
At 1 January	363,025	313,960
Finance expense for the period	14,217	25,469
Foreign exchange loss	(2,180)	23,596
At period end	375,062	363,025
Maturity analysis:		
Outstanding obligation	375,062	363,025
Less: Amount due within one year	-	-
Non-current portion of the obligation	375,062	363,025
The concession obligation is due as analysed below:		
Within one year	-	-
Between one and two years	20,340	7,047
Between two and three years	15,583	7,361
Between three and four years	68,807	4,642
Between four and five years	77,204	146,758
After five years	193,128	197,217
	375,062	363,025

On 1 March 2005, the Company took over the operation of the electricity power distribution network that was being operated by UEDCL under a 20 year concession arrangement. The present value of the obligation arising from the lease rental payments under the concession agreements at the commencement of the concession was estimated to be Ushs 219 billion (US\$ 119 million) using a discounting rate of 8.911%. The present value of the concession obligation is adjusted in case of changes in the estimated repayments schedule.

18. LONG TERM INCENTIVE PLAN

This relates to the provision for the Share Grant Scheme and Deferred Bonus Scheme as follows:

	Unaudited 30 June 2017 Ushs million	Audited 31 December 2016 Ushs million
At 1 January	2,867	14,490
Provision for the period	-	2,176
Reversal of provision	(2,867)	-
Payment	-	(14,208)
Foreign exchange (gain)/loss	-	409
At period end	-	2,867

Umeme Limited
Notes to the condensed interim financial statements (continued)
For the six-month period ended 30 June 2017

19. SHORT TERM BORROWINGS

	Unaudited 30 June 2017 Ushs million	Audited 31 December 2016 Ushs million
Overdraft	40,138	49,673
Less: Deferred transactions costs	(561)	(644)
	<u>39,577</u>	<u>49,029</u>
Deferred transaction costs		
At 1 January	644	779
Management, security and agency fees	-	-
Amortisation for the period	(79)	(181)
Foreign exchange gain	(4)	46
	<u>561</u>	<u>644</u>

As at 30 June 2017, the Company had drawn down Ushs 40,138 million (2016: Ushs 49,673 million) from Standard Chartered Bank under the revolving credit facility. The revolving credit facility attracts interest based on the Treasury Bill rate + a margin determined by the facility agent (if withdrawn in Ushs) or LIBOR + a margin determined by the facility agent (if withdrawn in USD dollars). As at 30 June 2017, the outstanding amount withdrawn was in Ushs and USD. The applicable interest rate as at period-end was Ushs - 20.56% and USD - 8.4691%. (2016: Ushs - 27.3%). Other terms and conditions are as disclosed in Note 16.

20. DISTRIBUTIONS TO SHAREHOLDERS MADE AND PROPOSED

	Unaudited 30 June 2017 Dividend per share Ushs	Unaudited 30 June 2017 Total Ushs million	Audited 31 December 2016 Dividend per share Ushs	Audited 31 December 2016 Total Ushs million
Dividend paid				
Interim dividend paid	-	-	11.0	17,862
Final dividend paid	7.8	12,745	-	-
	<u>7.8</u>	<u>12,745</u>	<u>11.0</u>	<u>17,862</u>
Dividend proposed				
Proposed dividend	-	-	7.8	12,745

At the Annual General Meeting held on 11 May 2016, the shareholders approved a final dividend for the year ended 31 December 2016 of Ushs 7.8 per ordinary share to be paid for the year ended 31 December 2016. The dividends were paid to the shareholders on the 6th July 2017.

21. CASH AND CASH EQUIVALENTS

	Unaudited 30 June 2017 Ushs million	Unaudited 30 June 2016 Ushs million
Bank balances	17,397	18,837
Short term loan facilities	(39,577)	(47,985)
Bank balances not available for use	(223)	(638)
	<u>(22,403)</u>	<u>(29,786)</u>

22. LETTERS OF CREDIT

As at 30 June 2017, the Company had letters of credit facilities with Standard Chartered Bank Uganda Limited. The letters of credit facilitate the purchase and importation of network equipment and related electricity distribution accessories. A total of Ushs 13,395 million (USD 3.2 million) had been issued under the letters of credit facilities as at 30 June 2017 (31 December 2016: Ushs 6,869). These Letters of credit are issued against the working capital lines of credit with Standard Chartered Bank Uganda Ltd.

23. RELATED PARTIES

The Company's relation with Umeme Holdings Limited, Umeme Management Services Limited and Actis Infrastructure 2 LP ceased on 31 December 2016 as a result of the expiry of the management contract between the entities and Umeme Limited.

The transactions with the above entities for the period ended 30 June 2017 were therefore carried out on commercial basis and not under related party arrangements. The related party transactions relate to the comparative period ended 31 December 2016.

	Unaudited 30 June 2017 Ushs million	Audited 31 December 2016 Ushs million
i) Management and secondment services		
Umeme Management Services Limited	336	476
ii) Other transactions		
Actis	-	526
iii) Compensation of key management personnel		
Directors emoluments and expenses	1,409	4,049
Contribution to NSSF	240	704
Share based payments	-	4,764

The above benefits include directors' emoluments and expenses and expatriate expenses.

The following were the related party balances:

	Unaudited 30 June 2017 Ushs million	Audited 31 December 2016 Ushs million
i) Amounts due to related parties		
Actis – recharges	-	488
Umeme Management Services Limited	-	83
	-	571
ii) Amounts due from related parties		
Umeme Holdings Limited	503	1,558
	503	1,558

Amounts due from Umeme holdings Limited were subsequently received in July 2017.

24. SHAREHOLDING

Shareholder composition	Number of shares	30 June 2017	Number of shares	31 December 2016
		Percentage shareholding		Percentage shareholding
National Social Security Fund	376,315,085	23.2%	376,315,085	23.2%
Allan Gray	116,678,791	7.2%	89,301,435	5.5%
Kimberlite Frontier Africa Master Fund	115,046,392	7.1%	107,197,587	6.6%
Investec Asset Management Africa Fund	77,390,894	4.8%	78,616,769	4.8%
Utilico Emerging Markets Limited	69,911,788	4.3%	69,911,788	4.3%
The Africa Emerging Markets Fund	60,290,093	3.7%	55,250,672	3.4%
International Finance Corporation	45,220,900	2.8%	45,220,900	2.8%
Coronation Global Opportunities Fund	42,125,470	2.6%	42,125,470	2.6%
Duet Fund	39,796,024	2.5%	44,796,024	2.8%
Kattagat Trust	29,140,042	1.8%	31,751,442	2.0%
Others	651,962,526	40.0%	683,390,833	42.0%
	1,623,878,005	100%	1,623,878,005	100%

b) Spread of issued shares as at 30 June 2017

Shareholding (number of shares)	Number of Shareholders	Number of shares held	Percentage shareholding
Less than 500 shares	392	74,195	0.00%
500 - 5,000 shares	2,794	5,227,597	0.32%
5,001 - 10,000 shares	670	5,373,290	0.33%
10,001 - 100,000 shares	1,116	34,356,331	2.12%
100,001 - 1,000,000 shares	447	118,960,062	7.33%
Above 1,000,000 shares	135	1,459,886,530	89.9%
	5,554	1,623,878,005	100%

25. EARNINGS BEFORE INTEREST, TAXATION, DEPRECIATION AND AMMORTISATION (EBITDA)

The Company uses EBITDA as part of its alternative performance measures. For this purpose, EBITDA is defined as operating profits before amortisation adjusted for foreign exchange losses/gains, finance lease income.

For the purposes of borrowing covenants computation, EBITDA is adjusted for any extra ordinary gains and losses that are not as a result of normal course of business, any non-cash items and any gains or losses from sale of assets (other than inventory sold in the ordinary course of business). As such, for this period, impairment provisions resulting from effects of amendment 5 have been adjusted for in the EBITDA computation in compliance with the requirements of the borrowings agreements.

	Unaudited 30 June 2017		Unaudited 30 June 2016	
	Ushs Million	USD '000	Ushs Million	USD '000
Operating profit before amortisation	12,756	3,582	131,472	38,813
Foreign exchange losses	1,173	325	909	274
Effects of Amendment 5 – note 7	115,236	31,870	-	-
Total EBITDA	129,165	35,777	132,381	39,087

FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE 2017 IN US DOLLARS

The Company's functional currency is US Dollars effective 1 January 2015; however the Company has elected to present its financial statements in Uganda Shillings. To meet the needs of certain users of the financial statements, the statement of comprehensive income, statement of financial position and statement of changes in equity have been presented in US Dollars as indicated in the accompanying memoranda.

The translation is done in accordance with the Company's accounting policy as disclosed in note 2. The rates applicable for 2016 and 2017 were as follows:

	June 2017	June 2016	December 2016
Average rate	3,596	3,387	3,423
Period-end rate	3,594	3,410	3,616
<i>Source: Bank of Uganda</i>			

STATEMENT OF PROFIT OR LOSS FOR THE 6 MONTHS PERIOD ENDED 30 JUNE 2017

	Unaudited 6 months ended 30 June 2017	Unaudited 6 months ended 30 June 2017
Revenue	195,164	194,567
Cost of sales	(134,771)	(131,840)
GROSS PROFIT	60,393	62,727
Other operating income	1,257	1,028
	61,650	63,755
Repair and maintenance expenses	(3,396)	(2,418)
Administration expenses	(22,477)	(22,250)
Effects of Amendment 5	(31,870)	-
Foreign exchange losses	(325)	(274)
OPERATING PROFIT BEFORE AMORTISATION	3,582	38,813
Amortisation of intangible assets	(11,595)	(9,460)
OPERATING (LOSS)/PROFIT	(8,013)	29,353
Finance income	4,511	3,875
Finance costs	(12,149)	(9,588)
(LOSS)/PROFIT BEFORE TAX	(15,651)	23,640
Income tax credit/(expense)	2,538	(7,536)
(LOSS)/PROFIT FOR THE PERIOD	(13,113)	16,104
	Unaudited 6 months ended 30 June 2017	Unaudited 6 months ended 30 June 2017
BASIC AND DILUTED EARNINGS PER SHARE	-	0.01

STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 JUNE 2017

	Unaudited 6 months ended 30 June 2017	Unaudited 6 months ended 30 June 2017
(Loss)/Profit for the period	(13,113)	16,104
Other comprehensive income		
Foreign exchange translation differences	(9,035)	-
Total comprehensive (loss)/income for the period, net of tax	<u>(22,148)</u>	<u>16,104</u>

STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2017

	Unaudited 30 June 2017 USD '000	Audited 31 December 2016 USD '000
ASSETS		
Non-current assets		
Intangible assets	311,853	364,350
Concession arrangement : financial asset	104,347	100,408
Financial Asset	87,265	19,366
	503,465	484,124
Current assets		
Inventories	17,171	15,356
Amount recoverable from customer capital contributions	2,225	1,931
Tax recoverable	-	3,275
Trade and other receivables	65,407	94,858
Bank balances	4,840	6,695
	89,643	122,115
TOTAL ASSETS	593,108	606,239
EQUITY AND LIABILITIES		
Equity		
Issued capital	8,217	8,217
Share premium	20,815	20,815
Retained earnings	118,064	134,721
Other components of equity	(9,035)	-
	138,061	163,753
Non-current liabilities		
Borrowings: Non-current portion	142,625	159,982
Concession obligation	104,347	100,408
Deferred income tax liability	31,116	30,780
Long term incentive plan	-	793
	278,088	291,963
Current liabilities		
Borrowings: Current portion	54,517	34,303
Customer security deposits	62	36
Deferred income	3,964	1,937
Trade and other payables	105,559	100,686
Current income tax payable	1,846	-
Short term borrowings	11,011	13,561
	176,959	150,523
TOTAL EQUITY AND LIABILITIES	593,108	606,239

STATEMENT OF CASHFLOW FOR THE PERIOD ENDED 30 JUNE 2017

	Unaudited 6 months ended 30 June 2017 USD '000	Unaudited 6 months ended 30 June 2016 USD '000
(Loss)/Profit before tax	(15,651)	23,640
Adjustment for:		
Interest received from banks	(74)	(79)
Finance income on concession financial asset	(3,939)	(3,647)
Amortisation of intangible assets	11,595	9,460
Loss on disposal of intangible assets	965	-
Interest expense on Facilities A and B	6,327	4,585
Amortisation of deferred transaction costs	724	565
Finance cost on concession obligation	3,939	3,647
Finance income on interest receivable on financial asset	(498)	(148)
Dividends declared	(3,544)	-
	(156)	38,023
Changes in:		
Inventories	(1,815)	(3,582)
Amount recoverable from customer capital contributions	(294)	(612)
Trade and other receivables	29,451	1,758
Interest rate SWAP	-	(4)
Deferred income	2,027	(1,560)
Long term incentive plan	(793)	(3,126)
Trade and other payables	4,874	(10,560)
Cash generated from operating activities	33,294	20,337
Interest received from banks	74	79
Current income tax paid	(1,042)	(3,540)
Interest paid on loan A and B	(6,316)	(4,952)
Transaction costs on term loan and short term borrowings	(625)	(112)
Net cash flows from/(used) in operating activities	25,385	11,812
Investing activities		
Purchase of intangible assets	(27,463)	(32,584)
Net cash flows used in investing activities	(27,463)	(32,584)
Financing activities		
Repayment of borrowings	(17,253)	-
Net proceeds from borrowings	20,000	24,999
Dividends paid	-	(11,846)
Net cash flows from financing activities	2,747	13,153
Net increase/(decrease) in cash and cash equivalents	669	(7,619)
Cash and cash equivalents at 1 January	(6,902)	(1,116)
Cash and cash equivalents at the end of the period	(6,233)	(8,735)
Cash and cash equivalents		
Bank balances	4,840	5,524
Short term borrowing facility	(11,011)	(14,072)
Bank balances not available for use – customer deposits	(62)	(187)
	(6,233)	(8,735)